ASSIGNMENT NO.3

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CLASS: MKT1903

COURSE: EXE101

GROUP: 3

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1. Model Canvas

1.1. Key Partners

The business operates under a print-on-demand and personalization model, making strategic partnerships essential for quality control and operational efficiency.

Manufacturing and printing workshops are core partners responsible for producing garments according to official school identity standards while handling customized elements such as names, slogans, and approved color variations. Their flexibility and production capacity directly impact delivery speed and cost control.

Raw material suppliers (fabric, ink, embroidery materials) influence product durability, comfort, and brand perception. Since the positioning aims to transform mandatory school apparel into desirable everyday fashion, material quality must meet higher aesthetic and functional standards.

Logistics providers ensure timely and accurate delivery. As production occurs per order, reliable shipping performance plays a crucial role in customer satisfaction and brand credibility.

1.2. Key Activities

The model revolves around three main pillars: design, technology, and operations.

Designing standardized templates aligned with the school's identity (logo, colors, spirit) ensures authenticity and legitimacy. This builds trust among students and maintains institutional consistency.

Developing and operating the online drag-and-drop customization platform represents the core differentiator. It allows students to personalize products within controlled parameters, balancing creativity with brand consistency.

Print-on-demand production reduces inventory risk and financial exposure. However, it requires tight coordination between the ordering system and manufacturing partners.

Internal school marketing focuses on fostering pride and belonging. Campaigns linked to events, clubs, or academic cohorts stimulate collective purchasing behavior.

Quality control and order fulfillment ensure that each customized product matches the student's specifications and is delivered within the promised timeframe.

1.3. Key Resources

The online customization platform is a strategic technological asset. It is not merely a sales tool but the foundation of competitive differentiation, enabling interactive co-creation between the brand and students.

Personalized printing systems are critical physical resources, allowing individual customization without significantly increasing per-unit costs.

The design and marketing team maintains brand image, ensures alignment with student trends, and continuously refreshes creative concepts.

The student database within the institution is a valuable data asset, enabling targeted communication, segmented campaigns, and event-based promotions.

1.4. Value Proposition

The value proposition operates at three levels: functional, emotional, and community-based.

Functionally, the product preserves the official school identity while allowing controlled personalization. Students can express individuality without compromising institutional branding.

Emotionally, the product transforms “mandatory apparel” into “desirable fashion.” Trend-aligned, versatile designs allow students to wear the product both on campus and in daily life.

At the community level, the apparel strengthens school pride and belonging. Limited editions linked to events or clubs enhance group identity and exclusivity.

1.5. Customer Relationships

The model primarily relies on a self-service customization system, empowering students to actively participate in designing their own apparel. This increases engagement and perceived ownership.

Online support via chat or inbox ensures prompt resolution of issues related to customization, payment, and delivery.

Limited editions tied to events create scarcity and encourage repeat purchases, supporting long-term customer retention rather than one-time transactions.

1.6. Channels

The official customization website serves as the primary sales channel where personalization, ordering, and payment occur.

Social media platforms such as Facebook and TikTok function as awareness and engagement channels. Content focuses on customization experiences, styling inspiration, and event-driven campaigns.

Together, these channels form a conversion funnel: social media generates demand, while the website converts interest into sales.

1.7. Customer Segments

The primary target segment consists of full-time undergraduate students (Year 1–4). This group values identity expression while maintaining institutional affiliation.

Students involved in clubs and school events represent a high-potential segment for bulk or group orders.

In the long term, the model can expand to alumni, leveraging nostalgia and institutional pride.

1.8. Cost Structure

The largest cost components are garment production and personalized printing or embroidery, as each item is processed individually.

Website development and maintenance represent significant initial investments, particularly for advanced drag-and-drop customization features.

Marketing expenditures are critical during the early stage to build brand awareness within the institution.

Logistics and order handling costs are variable expenses that increase proportionally with sales volume.

1.9. Revenue Streams

Primary revenue is generated from customized apparel sales.

Additional revenue streams include accessories such as caps, socks, and keychains, as well as limited-edition collections tied to events.

Student bundle offers and group orders increase average order value.

Premium versions with higher-quality materials create a higher-margin segment within the same customer base.

2. Intial Investment Costs

No.	Item Description	Amount (VND)	Practical Notes
1	.com Domain Name	450,000	Includes taxes and Whois Privacy fees.

2	Business Hosting (1 year)	2,200,000	High-performance graphics processing package for Custom Web.
3	Image Customization Plugin License	1,500,000	Purchase of specialized design Source code/Plugin.
4	Sample Production (Sampling)	3,500,000	15 T-shirts, 5 hoodies, 30 keychains (for media/material).
5	Launch Marketing	2,500,000	Launch Ads + Standee printing at school gates.
6	Photography & Livestream Props	500,000	LED lights, backdrops, wooden hangers.
7	Working Capital Reserve (Cash)	5,000,000	Funds for rotating blank stock imports when orders arrive.
Total Investment Capital		**15,650,000**	**Contribution per person: 2,608,333 VNĐ**

2.1. Overview of Total Investment

The total initial investment required for the project is **15,650,000 VND**. This amount represents the total capital needed to establish the business infrastructure, prepare sample products, implement initial marketing activities, and ensure sufficient working capital for early operations.

With a team of six members, the average contribution per person is **2,608,333 VND**. This level of investment is considered reasonable for a student startup model, as it balances financial feasibility with operational readiness.

The investment structure is designed to ensure that the project is fully functional from the launch stage, both technically and commercially.

2.2. Detailed Breakdown of Investment Items

- *.com Domain Name (450,000 VND)*

The domain name cost includes registration for one year, taxes, and Whois Privacy protection.

A .com domain enhances brand professionalism and credibility. Owning a private domain instead of using a free subdomain helps strengthen customer trust and supports long-term brand development. This cost is categorized as a fixed annual expense.

- *Business Hosting Package – 1 Year (2,200,000 VND)*

The hosting package is required to store website data and ensure stable performance. A business-level hosting plan was selected instead of a basic package due to the technical requirements of the custom design feature.

Since the website allows users to personalize products (e.g., upload images and adjust designs), it requires higher storage capacity, faster loading speed, and greater bandwidth. A reliable hosting service reduces the risk of downtime and improves user experience, which directly affects conversion rates. This cost is classified as a fixed operational expense for the first year.

- *Image Customization Plugin (1,500,000 VND)*

This plugin enables customers to customize product designs directly on the website, including uploading images, resizing, and positioning graphics.

The customization feature represents the core value proposition of the project. It differentiates the business from traditional clothing stores and enhances customer engagement. Investing in specialized design source code ensures better functionality and long-term scalability. This is considered a one-time setup cost and a key strategic investment.

- *Sample Production (3,500,000 VND)*

The sample production cost includes: 15 T-shirts, 5 hoodies, 30 keychains. These products serve multiple purposes: Product photography, livestream demonstrations, offline display at school events, quality testing before mass selling.

Producing samples reduces operational risk by allowing the team to evaluate material quality and printing accuracy in advance. It also increases customer confidence through real product visualization. This expense is categorized as a pre-operational cost.

- *Launch Marketing Activities (2,500,000 VND)*

The marketing budget covers: paid online advertisements (e.g., social media ads), standee banners placed at school gates.

Initial marketing is essential to generate brand awareness and attract target customers, especially students. Without traffic generation, the website cannot achieve sales conversion. This investment is designed to create early momentum, stimulate first-time purchases, and support brand recognition in the launch phase.

- *Photo and Livestream Props (500,000 VND)*

This budget includes: LED lighting, backdrops, product hangers
In online retail, visual presentation significantly influences purchasing decisions. Even with limited capital, investing in basic photography and livestream equipment improves product image quality and enhances brand perception. This is a low-cost but high-impact supporting expense.

- *Working Capital (5,000,000 VND)*

Working capital is allocated to: Import additional inventory, pay printing suppliers, process initial customer orders, cover short-term operational gaps. Working capital ensures smooth cash flow during the early stage when revenue is still unstable. Without sufficient liquidity, the business may face operational interruptions. Among all categories, this is the most critical component because it directly affects operational sustainability.

2.3. Overall Assessment

The total investment of 15,650,000 VND is appropriate for a student-led startup project. The capital allocation reflects strategic priorities, including technological capability (customization feature), brand positioning (professional website), market penetration (launch marketing), and operational continuity (working capital).

With effective cost control and a reasonable sales strategy, the project has the potential to recover initial investment within a short operational period.

3. Cost of Goods Sold – Cogs

No.	Cost Item	Amount (VND)	Notes
1	**Direct Production Cost**	**110,000**	
1.1	100% Cotton Blank (250gsm)	65,000	Factory price (incl. tags/labels).
1.2	Digital Printing (DTG/DTF)	40,000	POD printing (A3 size, 1 side).
1.3	Inbound Shipping	5,000	Factory to warehouse shipping.
2	**Packaging & Materials**	**8,000**	

2.1	Logo Zipper Bag	2,500	High-end frosted plastic (bulk 500).
2.2	Poly Mailer	1,500	Durable, waterproof shipping bag.
2.3	Thank You Card & Sticker	3,000	Gift set to enhance CX.
2.4	Thermal Paper & Tape	1,000	Consumables for shipping labels.
3	**Transaction & Operations**	**13,750**	
3.1	COD & Platform Fee (3%)	7,500	Shipping partner commission.
3.2	Payment/Bank Fee (1%)	2,500	Transaction fee for transfers/E-wallets.
3.3	Tax Provision (1.5%)	3,750	Based on actual revenue.
4	**Product Risk Provision**	**5,500**	
4.1	Defect & Loss (2%)	3,000	Insurance for factory defects/damage.
4.2	Return/Exchange Provision	2,500	Shipping for returns/size exchanges.
TOTAL COGS		**137,250**	

3.1. Overview of Total COGS

The total Cost of Goods Sold (COGS) per product is 137,250 VND.

This figure represents the total direct cost incurred to produce, package, process, and deliver one customized T-shirt to the customer. The COGS is a critical component in pricing strategy, profit margin calculation, and break-even analysis.

The cost structure is divided into four major categories:

1. Direct Production Cost
2. Packaging & Materials
3. Transaction & Operational Costs
4. Product Risk Provision

This breakdown ensures that all direct and semi-direct costs associated with each unit are fully accounted for.

3.2. Direct Production Cost – 110,000 VND

Direct production cost represents the core manufacturing expenses required to create one finished product.

- *100% Cotton Blank (250gsm) – 65,000 VND*

This is the factory price for a premium 100% cotton blank T-shirt with a thickness of 250gsm. The price includes brand tags and labels.

Choosing high-quality material supports: Product durability, premium positioning, customer satisfaction.

This cost forms the largest component of total production expenses.

- *Digital Printing (DTG/DTF) – 40,000 VND*

The printing cost applies to Print-on-Demand (POD) technology, using either DTG (Direct-to-Garment) or DTF (Direct-to-Film) methods. The price covers: A3 size design, one-sided printing. This method allows customization flexibility and eliminates the need for large inventory stock, which reduces financial risk while maintaining personalization value.

- *Inbound Shipping – 5,000 VND*

This includes transportation costs from the factory to the warehouse. Although relatively small, inbound logistics must be included in COGS to ensure accurate unit cost calculation.

3.2. Packaging & Materials – 8,000 VND

Packaging contributes not only to product protection but also to customer experience (CX).

- *Logo Zipper Bag – 2,500 VND*

A frosted high-end plastic zipper bag printed with the brand logo, ordered in bulk (500 units). This enhances brand identity and perceived product value.

- *Poly Mailer – 1,500 VND*

A waterproof and durable outer shipping bag to protect the product during transportation.

- *Thank You Card & Sticker – 3,000 VND*

Includes: Personalized thank-you card, brand sticker. These small additions strengthen emotional connection and encourage repeat purchases.

- *Thermal Paper & Tape – 1,000 VND*

Consumable materials used for printing shipping labels and sealing packages. Although minor, these costs are essential for fulfillment operations.

3.3. Transaction & Operational Costs – 13,750 VND

This category covers fees related to order processing and payment transactions.

- *COD & Platform Fee (3%) – 7,500 VND*

This is the commission paid to shipping partners for Cash-on-Delivery services or platform usage. The percentage is calculated based on product selling price.

- *Payment/Bank Fee (1%) – 2,500 VND*

Transaction fees charged for bank transfers, e-wallet payments, or online payment gateways.

- *Tax Provision (1.5%) – 3,750 VND*

A tax reserve calculated as 1.5% of revenue to ensure compliance with financial regulations. Including tax provision in COGS ensures realistic profit estimation and avoids underestimating actual expenses.

3.4. Product Risk Provision – 5,500 VND

Risk provision accounts for potential operational uncertainties in the customization business model.

- *Defect & Loss (2%) – 3,000 VND*

Allocated to cover: Printing defects, factory errors, shipping damage. This acts as a form of operational insurance.

- *Return/Exchange Provision – 2,500 VND*

Covers shipping costs for: size exchanges, customer-initiated returns. Since clothing products are prone to sizing issues, budgeting for exchanges ensures smoother customer service operations.

3.5. Cost Structure Evaluation

The total COGS of **137,250 VND per unit** reflects a comprehensive and realistic cost calculation. The breakdown demonstrates that:

- Production cost accounts for the largest proportion.
- Packaging contributes to brand positioning.
- Transaction fees and tax provisions ensure financial transparency.
- Risk allocation enhances operational sustainability.

Accurately calculating COGS is essential for determining:

- Selling price strategy
- Gross profit margin
- Break-even point

This cost structure provides a solid foundation for financial feasibility analysis in the next section.

4. Financial Performance Per Unit

No.	Item	Value (VND)	Notes
1	Proposed Price	250,000	Competitive, student-friendly.
2	COGS	137,250	Incl. tax, ops & risk provisions.
3	Gross Profit	112,750	Amount after direct costs.
4	Margin	45.1%	Business efficiency metric.

- Overview of Proposed Selling Price

The proposed selling price for one customized T-shirt is **250,000 VND**.

This price is determined based on three key considerations:

- Market competitiveness within the student segment
- Perceived value of customized products
- Cost structure and required profit margin

The pricing strategy follows a **value-based and market-aligned approach**, ensuring affordability for students while maintaining profitability for the business.

- Cost of Goods Sold (COGS)

The total Cost of Goods Sold (COGS) per unit is **137,250 VND**.

This figure includes: Direct production costs, packaging materials, transaction fees, tax provisions, risk allocations (defects and returns). Since all operational and risk-related expenses are already embedded in the COGS, this calculation reflects a realistic and conservative cost structure

- Gross Profit per Unit

The gross profit per product is calculated as follows:

Gross Profit =Selling Price−COGS = 250,000 −137,250 = 112,750 VND

Therefore, the business earns **112,750 VND** in gross profit for each product sold.

This amount represents the contribution margin used to: Cover monthly operating expenses, recover initial investment, generate net profit

- Gross Profit Margin

The gross profit margin is calculated using the formula:

Gross Margin = Gross Profit / Selling Price × 100% = 250,000 / 112,750 × 100% = 45.1%

The resulting gross margin is **45.1%**

- Evaluation of Pricing Efficiency

A gross margin of 45.1% indicates: strong cost control relative to selling price. sufficient contribution to cover fixed monthly expenses, financial flexibility for promotional discounts if needed.
For a student-targeted custom apparel business, a margin above 40% is considered healthy. It provides operational sustainability while maintaining competitive pricing.

Additionally, because the product offers personalization value, customers are generally willing to pay a premium compared to basic blank T-shirts. This supports the feasibility of the 250,000 VND price point.

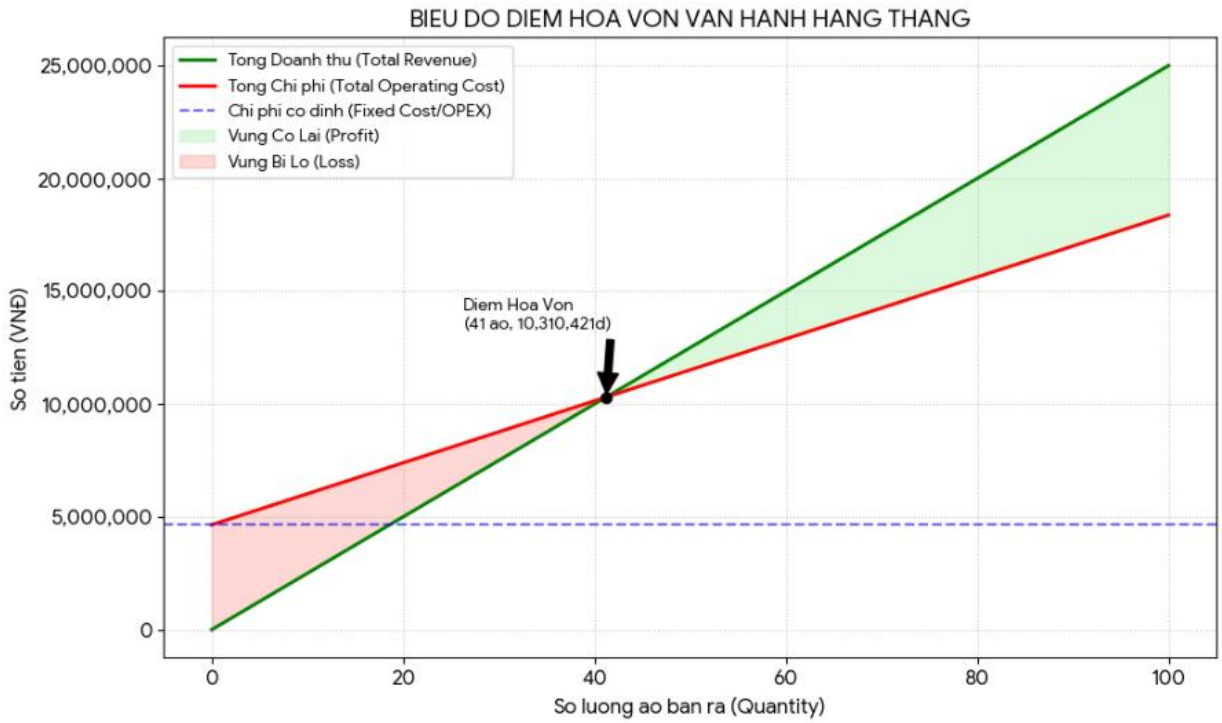
- Strategic Implications

With a gross profit of 112,750 VND per unit, the business can: estimate the break-even sales volume, forecast monthly profitability, adjust advertising budget strategically, offer occasional promotional campaigns without incurring losses. Overall, the proposed pricing structure balances affordability, competitiveness, and financial sustainability.

5. Break – Even Analysis

5.1. Monthly Operating Break-Even

No.	Indicator	Value
1	Monthly OPEX	4,650,000
2	Gross Profit / Shirt	112,750
3	Monthly BEP (Units)	41.2
4	Minimum Revenue	10,310,421
5	Daily Average	1.4



5.2. Total Investment Break-Even

No.	Indicator	Value
1	Initial CAPEX	15,650,000
2	Month 1 OPEX	4,650,000
3	**Total to Recover**	**20,300,000**
4	Total BEP	180.04
5	Daily Average	6.0

5.3. Business Scenarios

No.	Scenario	Shirts/Month	Monthly Profit	Payback Period (Months)	Total Units

1	**Slow**	**41.2**	**0**	**N/A (Cannot recover)**	**-**
2	**Average**	**60**	**2,115,000**	**7.4**	**444**
3	**Good**	**80**	**4,370,000**	**3.6**	**286**
4	**Ideal**	**100**	**6,625,000**	**2.4**	**236**
5	**Exceed**	**120**	**8,880,000**	**1.8**	**211**